

- You're completely covered financially for the rest of your own long life.
- You've accounted for your own emergencies, big and small.
- You've paid off all your debts.
- You've paid for your funeral.
- You've accounted for well-deserved fun and freedom.

We all want to help our kids. We're programmed that way. But you'll be helping them more by taking care of yourself first. Here's the chief reason why I'm against willing money to your kids: If your retirement plans don't include having someone to look after you if you become too old or too sick to do it yourself, you don't have enough money to give to your kids. And please don't assume your children will be willing to take on the task of looking after you when you're unwell, let alone have you move in with them. They may be in no position to do that, and you don't want to place that burden on them any more than they want to take it on.

I don't mean to be bleak, but the picture I'm painting is a reality for a lot of Americans. To open up a dialogue about late-in-life care, I want to tell you a story that nearly ripped a family apart. After you read the story, I want you to ask yourself what you would do. Then, I'm going to leave you with a few questions that you should put on the table with your own family well before you retire.

Danielle and Amanda are sisters. They were close growing up, were maids of honor at each other's weddings. Their husbands, Dave and Lyle, were friends. Danielle developed Alzheimer's disease in her sixties. At first, it was manageable, but then it became apparent that she'd need around-the-clock care. Meanwhile, her husband, Dave, had made some bad late-in-life investments that drained their savings rather significantly. Still, they were able to afford a nice long-term care facility for Danielle while she was still lucid. Amanda and Lyle visited Danielle every weekend.

While Danielle and Dave had two kids, Amanda and Lyle remained childless. They loved the freedom that allowed them to work like crazy in order to save a bundle and retire early. They planned to travel and write, two of their passions, without worrying about money.